General Liability Underwriting Guidelines

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General liability (GL) coverage is offered for businesses with primary operations in low-to-moderate hazard classes: offices, retail, light manufacturing, and personal services. Preferred risk factors include an in-force safety program, fewer than 2 liability claims in the past 5 years, and no prior policy cancellations for non-payment. Coverage is generally declined for businesses involving explosives, aviation operations, or structural demolition. Standard limits offered range from $1,000,000 to $5,000,000 per occurrence, with higher limits requiring senior underwriter sign-off. Businesses operating heavy machinery such as forklifts, industrial saws, or commercial mowing equipment require a supplemental safety questionnaire before binding. Renewal terms require an updated loss run report no more than 90 days old and confirmation that no operations have materially changed since the prior term. Premium is calculated from classified payroll or gross sales receipts, subject to a $2,500 minimum earned premium regardless of exposure base. Additional insured endorsements are issued only after underwriting confirms the requesting party has a valid contractual relationship with the named insured. Claims with reserves exceeding $250,000 must be reported to the reinsurance treasurer within five business days of the reserve change. Subcontractors working under a general contractor's policy must carry certificates of insurance with limits equal to or greater than the general contractor's own limits. Certain classes are excluded outright and must be referred to the reinsurance desk rather than declined at the branch level: firearms and ammunition manufacturing, amusement park operators, and any business deriving more than 10 percent of revenue from professional sports activities. Habitational risks over four units are outside appetite for this program and should be routed to the habitational underwriting team instead. Products liability exposure for any insured exporting goods outside North America requires a completed foreign exposure supplement before a quote can be issued. Liquor liability is excluded by default for any insured deriving more than 30 percent of receipts from alcohol sales, and can only be added back by specific endorsement with a five-year loss history on file. Territory is limited to the United States, its territories, and Canada; any operations outside that territory must be referred for manuscript coverage. Umbrella and excess layers above the primary GL policy are bound only after the underwriting file includes a completed schedule of underlying limits for every other liability policy carried by the insured. Loss control surveys are required at inception for any account with total insured values over $5,000,000 or a prior loss ratio above 50 percent, and must be completed by a qualified loss control representative rather than the producer of record. Survey findings that identify a material hazard, such as unguarded machinery or an expired fire suppression inspection, must be corrected within 60 days or coverage may be non-renewed at the underwriter's discretion. Named insureds must be reviewed against the current sanctions and denied-party screening list before binding, and any match must be escalated to compliance before the policy is issued. Mid-term changes in operations, ownership, or the addition of a new location must be reported to underwriting within 30 days; failure to disclose a material change can void coverage for losses arising from the undisclosed exposure. Policies bound through a wholesale broker require a signed broker agreement on file confirming the broker's authority to bind on the carrier's behalf before the first certificate of insurance is issued. Cancellation for non-payment requires a notice period of at least 10 days in most states, while cancellation for underwriting reasons other than non-payment generally requires 30 to 60 days depending on the state of filing; the exact notice period is controlled by the cancellation endorsement attached to the policy, not this manual. Mid-term audits may be triggered for any account where reported payroll or sales deviate more than 25 percent from the estimate used at inception. Certificates of insurance issued to third parties must reflect the actual limits in force and may not show blanket additional insured status unless the policy actually includes a blanket additional insured endorsement. Waiver of subrogation endorsements are available only when requested in writing before a loss occurs and are never issued retroactively after a claim has already been reported. Any request to backdate a policy's effective date by more than 5 days requires a signed no-loss letter from the insured and approval from a underwriting manager before the policy can be issued.